



HM Treasury

Policy paper

Update on the Digital Gilt Instrument (DIGIT) pilot issuance

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The Chancellor announced in her Mansion House speech (14 July) that the government is taking steps to prepare for potential further Digital Gilt Instrument (DIGIT) issuances, subject to the success of the first transaction that will take place by Q1 2027 on HSBC's digital securities depository (DSD), HSBC Orion.

This announcement follows the appointment of HSBC as the platform provider for the DIGIT pilot issuance following a competitive procurement process in February. On 13 July, HSBC received Gate 2 approval in the Digital Securities Sandbox, becoming the first sandbox entrant to receive approval to provide live DSD services.

At Mansion House last year, the government committed to delivering a range of design features, which included supporting interoperability, investor access and exploring the case for listings. The government has been engaging with additional suppliers to support the delivery of these features, together with HSBC.

Building on these commitments, HSBC and LSEG (London Stock Exchange Group) have signed a memorandum of understanding to deliver a bilateral Digital Securities Depository link. This link is intended to provide connectivity between HSBC Orion DSD and LSEG's DSD and further deliver on the government's design ambition to support interoperability as a part of the pilot. Through this bilateral link model, the LSEG digital securities depository platform acts as an investor DSD for settlement and asset servicing, alongside HSBC Orion as issuer DSD.

The link would enable investors to access and hold DIGIT through either infrastructure, reducing fragmentation between digital platforms and supporting broader participation in the pilot. The government, HSBC and LSEG, are working towards providing a foundation for future connectivity between digital infrastructures, helping to foster innovation, increase investor choice and support the development of the UK's digital capital markets ecosystem.

Alongside this agreement, the government has engaged with regulators and LSEG on a potential listing on the London Stock Exchange (LSE). The government expects to list DIGIT on the LSE's main market as a part of delivering the pilot issuance

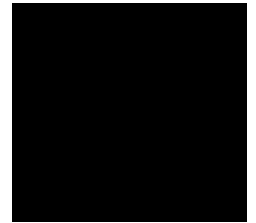
Additionally, the government intends to lay legislation when parliamentary

time allows to make amendments to the Digital Securities Sandbox (DSS). These changes aim to support the delivery of DSD services and digital security issuances, including DIGIT on DSS authorised Digital Ledger Technology (DLT) platforms.



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